

Citation.

2. This Act may be cited as the National Galleries of Scotland Act, 1959; and the National Galleries of Scotland Act, 1906, and this Act may be cited together as the National Galleries of Scotland Acts, 1906 and 1959.

CHAPTER 62

New Towns Act, 1959

ARRANGEMENT OF SECTIONS

PART I

DISPOSAL OF UNDERTAKINGS OF DEVELOPMENT CORPORATIONS, AND RELATED MATTERS

Section

1. Preliminary.
2. Establishment and functions of Commission for the New Towns.
3. Advances by Minister to Commission.
4. Housing.
5. Accounts, audit, annual report, etc.
6. General provision for transfer to Commission of property of development corporation, and for dissolution of corporation.
7. Special provision for transfer of sewerage and sewage disposal undertakings to local authority.
8. Power of local authorities to do work at request of Commission.
9. Supplementary.
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PART II

MISCELLANEOUS

11. Advances to development corporations.
12. Power to reduce or withhold housing subsidies.
13. Contributions by development corporations towards provision of amenities.
14. Short title, citation and extent.

SCHEDULE:

First Schedule—Constitution etc. of Commission for the New Towns.
Second Schedule—Provisions relating to transfer to Commission of property of development corporation.

An Act to make, as respects England and Wales, new provision in place of section fifteen of the New Towns Act, 1946, as to the disposal of the undertakings of development corporations and other matters arising when a development corporation has achieved or substantially achieved the purposes for which it is established; to amend the law relating to development corporations by increasing the limit on the advances which may be made to them under subsection (1) of section twelve of that Act, by providing for housing subsidies to be wholly or partly withheld in respect of dwellings disposed of by them, and by authorising them to make contributions towards the provision of amenities; and for purposes connected with the matters aforesaid.

[29th July, 1959]

BE it enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

PART I

DISPOSAL OF UNDERTAKINGS OF DEVELOPMENT CORPORATIONS, AND RELATED MATTERS

1. As respects England and Wales, the provision made by section fifteen of the New Towns Act, 1946, for the dissolution of development corporations and the disposal of their undertakings shall not have effect, and instead their assets and liabilities shall be disposed of, and the corporations shall be dissolved, in accordance with the provisions of this Part of this Act.

2.—(1) There shall be a body corporate by the name of the Commission for the New Towns having perpetual succession, a common seal and power to hold land without licence in mortmain, and incorporated for the purpose of taking over, holding, managing and turning to account the property previously vested in the development corporation for a new town and transferred to the Commission by an order under this Act.

Establishment
and functions
of Commission
for the New
Towns.

PART I
—cont.

(2) It shall be the general duty of the Commission to maintain and enhance the value of the land held by them and the return obtained by them from it, but in discharging their functions in relation to any town the Commission shall have regard to the purpose for which the town was developed under the New Towns Act, 1946, and to the convenience and welfare of persons residing, working or carrying on business there.

(3) The Commission in discharging their functions shall comply with such directions as may be given to them by the Minister of Housing and Local Government (in this Act referred to as "the Minister"), but in giving any such direction he shall have regard to the provisions of subsection (2) of this section.

(4) Subject to the provisions of this Act and to any direction given to them by the Minister, the Commission shall have power, with a view to the better fulfilment of the purpose mentioned in subsection (1) of this section by the improvement of any of their towns, or to the convenience or welfare of persons residing, working or carrying on business there,—

(a) to acquire (otherwise than by transfer under this Act), hold, manage and turn to account land situated in or near the town, or any interest in or rights over such land ;

(b) with the approval of the Minister given with the concurrence of the Treasury, to make contributions towards the cost of providing amenities for the town, or of providing for it water supplies or sewerage or sewage disposal services ;

(c) to promote or assist by any means, and in particular by making advances towards the cost of purchasing land, or of erecting, extending, improving or adapting buildings or works, the setting up or extension of businesses in the town ;

(d) to dispose of any property for such purposes and in such manner as they think fit.

(5) The Commission shall not without the authority given generally or specially of the Minister—

(a) transfer the freehold in any land, or grant a lease of any land for a term of more than ninety-nine years, except in the case of a private dwelling and in pursuance of an agreement to make the transfer or grant to the person occupying or proposing to occupy it as his residence ; or

(b) develop or redevelop any land, except in accordance with proposals submitted to the Minister and approved by him.

(6) The Commission shall not have power to dispose by way of gift, mortgage or charge of any land or, except as provided by paragraph (b) of subsection (4) of this section, of any other property; nor shall they have power to borrow money except by way of advance from the Minister under this Act.

PART I
—cont.

(7) Where it appears to the Minister, after consultation with the Treasury and with the Commission, that the Commission have a surplus whether on capital or on revenue account after making allowance by way of transfer to reserve or otherwise for their future requirements (including any contributions that may be required to be made in any of their towns under the last mentioned paragraph (b)), the Commission shall, if the Minister after such consultation as aforesaid so directs, pay to the Minister such sum not exceeding the amount of that surplus as may be specified in the direction; and any sum received by the Minister under this subsection shall be paid into the Exchequer.

(8) It is hereby declared that the Commission is not to be regarded as the servant or agent of the Crown or as enjoying any status, immunity or privilege of the Crown, and no property of the Commission is to be regarded as property of, or held on behalf of, the Crown; and nothing in this Act, except the express provision relating to stamp duty, shall be construed as exempting the Commission from liability to any tax, duty, rate, levy or other charge whatsoever, whether general or local.

(9) A transaction between a person and the Commission shall not be invalidated by reason of any non-compliance by the Commission with subsection (2) or subsection (3) of this section, unless the transaction is carried out in contravention of a direction of the Minister and that person had actual notice of the direction; nor shall any such transaction be invalidated by reason of any non-compliance by the Commission with the requirement of subsection (4) that they shall exercise the powers conferred by that subsection with the view there mentioned.

(10) References in this section to disposing of property, or of land, shall be construed as including references to granting any interest in or rights over it.

(11) The provisions of the First Schedule to this Act shall have effect with respect to the constitution and proceedings of the Commission and other matters relating to the Commission and its members.

(12) The Commission shall come into being on such date as the Minister may appoint by order made by statutory instrument which shall be subject to annulment in pursuance of a resolution of either House of Parliament.

PART I

—cont.

Advances by
Minister to
Commission.

3.—(1) For the purpose of enabling the Commission to meet liabilities properly chargeable to capital account (including the provision of working capital), or to make good to revenue account sums applied in meeting liabilities so chargeable, the Minister may make to the Commission advances repayable over such periods and on such terms as may be approved by the Treasury; but, subject to the following provisions of this Act, the aggregate amount outstanding at any time of advances made under this subsection shall not exceed five million pounds.

(2) The Minister may also advance to the Commission any sums required by them to meet a deficit on revenue account, and any such advance shall be repayable over such period and shall be made on such terms as may be approved by the Treasury; but the aggregate amount of the advances made under this subsection shall not exceed one million pounds.

(3) The Treasury may issue to the Minister out of the Consolidated Fund such sums as are necessary to enable him to make advances to the Commission under this section.

(4) For the purpose of providing the whole or part of any sum to be issued under subsection (3) of this section, or of providing for the replacement in whole or in part of any sum so issued, the Treasury may, at any time, if they think fit, raise money in any manner in which they are authorised to raise money under the National Loans Act, 1939, and any securities created and issued to raise money under this subsection shall be deemed for all purposes to have been created and issued under that Act.

(5) Any sums received by the Minister by way of repayment of or interest on advances under this section shall be paid into the Exchequer; and the Minister shall lay before each House of Parliament a statement of any sums payable to him by way of repayment of or interest on any such advances and not duly received by him.

(6) The sums paid into the Exchequer under subsection (5) of this section shall be issued out of the Consolidated Fund at such times as the Treasury may direct, and shall be applied by the Treasury as follows, that is to say—

(a) so much of those sums as represents principal shall be applied in redeeming or paying off debt of such description as the Treasury think fit; and

(b) so much of those sums as represents interest shall be applied towards meeting such part of the annual charges for the national debt as represents interest.

(7) The whole or part of any payment made to the Minister by the Commission under subsection (7) of section two of this Act shall, if the Minister with the approval of the Treasury so determines, be treated as made by way of repayment of such part of the principal of advances under this section, and as made in respect of the repayments due at such times, as may be so determined; and subsection (6) of this section shall apply to the corresponding payment into the Exchequer accordingly.

PART I
—cont.

4.—(1) Subject to the following provisions of this Act, Exchequer subsidies under section one of the Housing (Financial Provisions) Act, 1958, shall be payable in respect of new dwellings provided by the Commission, and in certain circumstances in respect of the sites of such dwellings, in accordance with the provisions of that Act applying in relation to new dwellings provided by a development corporation otherwise than in pursuance of authorised arrangements:

Provided that (without prejudice to any other provision relating to those subsidies) the Minister, with the concurrence of the Treasury, may by order made by statutory instrument, which shall be subject to annulment in pursuance of a resolution of the Commons House of Parliament, terminate the payment of subsidies by virtue of this subsection in respect of further new dwellings in any town or any description of such dwellings, or reduce the amount of subsidies so payable.

(2) Subject as aforesaid, the following provisions of the Housing (Financial Provisions) Act, 1958 (being provisions which enable the like Exchequer payments to be made to development corporations in certain circumstances as to local authorities), shall apply to the Commission as they apply to development corporations, that is to say,—

- (a) section fourteen (grants for building experiments);
- (b) subsection (1) of section fifteen (grants for hostels).

(3) Where by virtue of the foregoing subsections there is for the time being payable in respect of any building a subsidy or contribution under section one or section fifteen of the Housing (Financial Provisions) Act, 1958, and the Commission's interest in the building is transferred to a local authority within the meaning of Part I of that Act, then—

- (a) the subsidy or contribution shall cease to be payable; and
- (b) the Minister shall (subject to any power under that Act to reduce, suspend or discontinue any payments) pay to the local authority sums equivalent to the subsidies or contributions which would be payable in respect of the building if it had not been so transferred;

PART I
—*cont.*

and any payment which the Minister is authorised to make under paragraph (b) of this subsection shall be made out of moneys provided by Parliament and shall be included in the expression "exchequer payment" as defined in subsection (2) of section fifty-eight of that Act.

(4) Where a subsidy is payable in respect of a dwelling by virtue of subsection (1) of this section, the Minister may, out of moneys provided by Parliament, make to the Commission such additional grant by way of annual payments (not exceeding eight pounds for any one year in respect of any one dwelling) as he may with the concurrence of the Treasury determine; and section nine of the Housing Subsidies Act, 1956 (which enables the Minister to recover from local authorities contributions in respect of dwellings provided in the area of one authority to relieve congestion or overpopulation in the area of another), shall have effect in relation to any such grant as if the dwelling had been provided by a development corporation and the grant had been made under subsection (2) of section twelve of the New Towns Act, 1946, and any sum recovered by the Minister by virtue of this provision shall be paid into the Exchequer.

(5) Subject to subsection (6) of this section, the Increase of Rent and Mortgage Interest (Restrictions) Act, 1920, shall not apply to a tenancy where the interest of the landlord belongs to the Commission, and (without prejudice to the foregoing provision) a person shall not be entitled to retain possession against the Commission by virtue of the Rent and Mortgage Interest Restrictions Acts, 1920 to 1939; and accordingly subsection (3) of section one hundred and four of the Housing Act, 1957 (which provides for the imposition by local authorities of conditions as to rent and other matters on the sale by them of houses), shall not apply to sales to the Commission.

(6) In section sixteen of the Reserve and Auxiliary Forces (Protection of Civil Interests) Act, 1951 (which confers on a service man during his period of service with the armed forces security of tenure in respect of a rented family residence in respect of which he would otherwise have no statutory protection), after paragraph (a) of subsection (2) there shall be inserted the following paragraph—

"(aa) that the reversion immediately expectant on the tenancy qualifying for protection belongs to the Commission for the New Towns."

Accounts,
audit, annual
report, etc.

5.—(1) The Commission shall keep proper accounts and other records in relation thereto, and shall prepare in respect of each financial year annual accounts in such form as the Minister may with the approval of the Treasury direct, being a form

which will show the Commission's financial position both generally and in relation to each of their towns.

PART I
—cont.

(2) The accounts of the Commission shall be audited by an auditor to be appointed annually by the Minister.

(3) No person shall be qualified to be so appointed auditor unless he is a member of one or more of the following bodies:—

the Institute of Chartered Accountants in England and Wales ;

the Society of Incorporated Accountants ;

the Institute of Chartered Accountants of Scotland ;

the Association of Certified and Corporate Accountants ;

the Institute of Chartered Accountants in Ireland ;

any other body of accountants established in the United Kingdom and for the time being recognised for the purposes of paragraph (a) of subsection (1) of section one hundred and sixty-one of the Companies Act, 1948, by the Board of Trade.

(4) As soon as the annual accounts of the Commission for any financial year have been audited, the Commission shall send to the Minister a copy of the accounts prepared by them for that year in accordance with this section, together with a copy of any report made by the auditor thereon.

(5) The Minister shall prepare in respect of each financial year, in such form and manner and at such times as the Treasury may direct, an account of the sums issued to him out of the Consolidated Fund and advanced to the Commission under this Act, of sums received by him from the Commission and paid into the Exchequer in respect of the principal of and interest on sums so advanced, and of sums received by him from the Commission and paid into the Exchequer under subsection (7) of section two of this Act.

(6) On or before the thirtieth day of November in each year, the Minister shall transmit to the Comptroller and Auditor General the account prepared by him under the last foregoing subsection in respect of the last foregoing financial year ; and the Comptroller and Auditor General shall examine and certify the account prepared by the Minister and lay before each House of Parliament copies of that account, together with his report thereon.

(7) The Commission shall, as soon as possible after the end of each financial year, make to the Minister a report dealing generally and in relation to each of their towns with their operations during that year, and shall include in the report a copy

PART I
—*cont.*

of their audited accounts for that year ; and the Minister shall lay a copy of every such report before each House of Parliament.

(8) Without prejudice to the requirement imposed by the last foregoing subsection, the Commission shall provide the Minister with such information relating to their undertaking as the Minister may from time to time require, and for that purpose shall permit any person authorised by the Minister in that behalf to inspect and make copies of the accounts, books, documents or papers of the Commission and shall afford such explanation thereof as that person or the Minister may reasonably require.

(9) The Commission's financial year shall begin with the first day of April, and references to a financial year in relation to the Commission shall be construed accordingly.

General
provision for
transfer to
Commission
of property of
development
corporation,
and for
dissolution of
corporation.

6.—(1) Where, after consultation with the council of the county and of any county district in which a new town is situated, the Minister is satisfied that the purposes for which the development corporation is established under the New Towns Act, 1946, have been substantially achieved, he shall by order direct that—

(a) on such date as may be specified in the order the property of the corporation (other than property excepted under the following provisions of this Act) shall vest in the Commission, and the corporation shall cease to act except for the purpose of taking such steps (if any) as may be authorised or required by the order to dispose of any property so excepted, to prepare its final accounts and report, or otherwise to wind up its affairs ; and

(b) on that date or such later date as may be fixed by or under the order, the corporation shall be dissolved.

(2) The provisions of the Second Schedule to this Act shall have effect with respect to the transfer to the Commission by an order under this section of the property of a development corporation and with respect to matters arising out of the transfer or out of the dissolution of the corporation ; and the Minister may by order under this section make such further incidental or supplementary provisions as appear to the Minister to be necessary or expedient in relation to any such matter.

(3) Where by virtue of an order under section sixteen of the New Towns Act, 1946, a development corporation discharges functions in relation to more than one new town, the Minister may make an order under subsection (1) of this section in relation to that corporation and to any of those towns without the other or others, as if the corporation were not concerned with the other or others, but without providing for the dissolution of the corporation ; and in the case of any such order the provisions

PART I
—cont.

of the Second Schedule to this Act shall apply subject to such modifications as may be provided by the order for the purpose in particular of determining what part of the corporation's property, rights, liabilities and obligations is to be transferred to the Commission.

(4) The power to make orders under this section shall be exercisable by statutory instrument, and shall include power to vary or revoke any provision of a previous order.

7.—(1) Where—

- (a) the development corporation for a new town has, in pursuance of an order under section nine of the New Towns Act, 1946, been carrying on a sewerage or sewage disposal undertaking; and
- (b) it appears to the Minister that, having regard to the extent to which the new town has been developed, the undertaking should be transferred to the local authority charged by section fourteen of the Public Health Act, 1936, with the duty of providing public sewers in the new town or any part of it;

Special provision for transfer of sewerage and sewage disposal undertakings to local authority.

then, subject to the provisions of this section, the Minister may by order provide for the transfer of the undertaking to that local authority, and any such order may contain such incidental, consequential and supplementary provisions as the Minister thinks necessary or expedient for the purposes of the order (including provisions enlarging the area to which any powers and duties of the local authority extend).

(2) In the foregoing subsection, the expression "local authority" shall include any joint board constituted for a united district under section six of the Public Health Act, 1936; and, where it appears to the Minister expedient for the efficient provision of sewerage or sewage disposal services that the area of a new town or any larger area comprising it should be constituted a united district under that section for any purposes with a view to the transfer to the joint board of a sewerage or sewage disposal undertaking of the development corporation, then—

- (a) he may make an order accordingly constituting that area a united district, notwithstanding that no application in that behalf is made to him by the local authorities for the districts concerned or any of them; and
- (b) he may by the same order exercise the powers conferred by subsection (1) of this section for transferring the undertaking to the joint board.

PART I
—cont.

(3) The terms upon which an undertaking is transferred by an order under this section shall be such as the Minister, with the consent of the Treasury, may specify in the order, and those terms may provide for the payment by the transferee of such sums, to be satisfied in such manner, as may be so specified:

Provided that the total of the sums so paid shall not exceed the total capital cost of the undertaking less depreciation written off.

(4) Where a development corporation's sewerage or sewage disposal undertaking is transferred to the Commission under this Act, this section shall continue to apply to the undertaking as if the Commission were the development corporation.

(5) Before making an order under this section the Minister shall consult with the local authority or joint board to which it is proposed to transfer the undertaking (or, if that is a joint board to be constituted by the order, then with each council which would be represented on that board), and also with the council of the county comprising the area of that local authority or, as the case may be, of any local authority represented or to be represented on the board, and with any other authority appearing to him to be concerned.

(6) The power to make orders under this section shall be exercisable by statutory instrument, and in relation to any such order the provisions of subsection (4) of section six and subsection (2) of section nine of the Public Health Act, 1936 (which provide for the giving of notice, for special parliamentary procedure in the event of objection, and for revocation and variation), shall apply as they apply in relation to an order constituting a united district, except that the notice to be given of a proposed order other than an order for constituting, or for amending an order constituting, a united district shall be notice to the authority or board to which the undertaking in question is to be or has been transferred under subsection (1) of this section.

**Power of local
authorities to
do work at
request of
Commission.**

8.—(1) The council of a county or county district in which a new town or part of one is situated may, at the request of the Commission and for such consideration and on such other terms and conditions as may be agreed between the council and the Commission, do for the Commission any building or other work on land (including land outside the county or county district), being work undertaken for the purposes of the Commission's functions in relation to the new town, or any work preliminary to or connected with any such work on land as aforesaid, or allow the Commission to have for the purpose of any such work as aforesaid the services of officers or servants of the council or the use of premises or equipment of the council.

(2) This section shall apply in relation to a joint board discharging functions of any such council as aforesaid as it applies in relation to the council.

PART I
—cont.

9.—(1) Without prejudice to any other enactment authorising the holding of local inquiries, the Minister may cause a local inquiry to be held under this subsection for the purpose of the exercise of any of his functions under this Part of this Act; and subsections (2), (3) and (5) of section two hundred and ninety of the Local Government Act, 1933 (which relate to the giving of evidence at, and the costs of parties to, local inquiries), shall apply to inquiries held under this subsection as they apply to inquiries held under that section. Supplementary.

(2) References to undertakers in section fifteen of the Local Government Superannuation Act, 1953 (which enables local authorities to admit to their superannuation schemes employees of statutory undertakers), shall extend to the Commission.

(3) Part V of the Reserve and Auxiliary Forces (Protection of Civil Interests) Act, 1951 (which provides for the making to service men of payments to make up their civil remuneration), shall have effect as if in Part I of the Second Schedule to that Act the capacities specified in the first column included that of employee of the Commission, and the Commission were specified as respects that capacity in the second column.

(4) Section one hundred and ninety-two of the Highways Act, 1959 (which provides for payments in respect of street works to be made where a new building is erected on a private street), shall not apply in a case where the building is proposed to be erected on land belonging to or in the possession of the Commission.

(5) Property vested in any person by virtue of an order under this Act transferring it from a development corporation or from the Commission shall not be treated as so vested by way of sale for the purpose of section twelve of the Finance Act, 1895 (which provides for charging stamp duty in the case of certain statutory transfers by way of sale).

(6) Section fifteen of the New Towns Act, 1946, is hereby repealed; and for any reference in sections seventy-four and seventy-five of the Licensing Act, 1953, to an order under subsection (1) of the said section fifteen providing for the winding up and dissolution of the development corporation for any new town there shall be substituted a reference to an order under section six of this Act providing in relation to any new town for a transfer of the development corporation's property to the Commission.

PART I
—cont.

General
provision as
to expenses.

10. There shall be paid out of moneys provided by Parliament (in addition to any sums authorised by any other provision of this Act to be so paid)—

- (a) any administrative expenses incurred by the Minister for the purposes of this Part of this Act; and
- (b) any increase in the sums payable by way of rate-deficiency grant or Exchequer equalisation grant under the enactments relating to local government in England and Wales or in Scotland, being an increase attributable—
 - (i) to expenditure incurred by local authorities in respect of payments made to the Minister or the Commission by virtue of the provisions of this Part of this Act relating to housing; or
 - (ii) to expenditure incurred by local authorities (whether in respect of payments made to the Commission or to development corporations or otherwise) by virtue of the provisions of this Part of this Act relating to sewerage or sewage disposal undertakings carried on for the purposes of new towns.

PART II

MISCELLANEOUS

Advances to
development
corporations.

11.—(1) The limit imposed by the proviso to subsection (1) of section twelve of the New Towns Act, 1946, on the aggregate amount of the advances made to development corporations under that subsection shall be increased from the three hundred million pounds provided for by section one of the New Towns Act, 1958, to four hundred million pounds, less the amount of any advances made to the Commission for the New Towns for the purposes mentioned in sub-paragraph (1) of paragraph 5 of the Second Schedule to this Act.

(2) Section one of the New Towns Act, 1958, is hereby repealed.

Power to
reduce or
withhold
housing
subsidies.

12.—(1) At the end of section nineteen of the Housing (Financial Provisions) Act, 1958 (which provides for reducing or withholding certain payments in respect of housing provided by development corporations in England and Wales), there shall be added the following subsection:—

“(4) The Minister may reduce the amount of any subsidy for the time being payable under section one of this Act in respect of a dwelling provided by a development corporation, or may suspend or discontinue the payment of any such subsidy, as he thinks just, if the dwelling is sold or leased for a term of more than one year to a person other than a local authority”.

(2) At the end of section eighty-seven of the Housing (Scotland) Act, 1950 (which makes similar provision in respect of housing provided by development corporations in Scotland), there shall be added the following subsection:—

PART II
—cont.

“(5) The Secretary of State may reduce the amount of any contribution or sum for the time being payable under this Act or under section two of the Housing and Town Development (Scotland) Act, 1957, in respect of a dwelling provided by a development corporation or may suspend or discontinue the payment of any such contribution or sum, as he thinks just, if the dwelling is sold.”

13. Without prejudice to the generality of the powers conferred on development corporations by the New Towns Act, 1946, a development corporation may, with the consent of the Minister or, in Scotland, of the Secretary of State, contribute such sums as he with the concurrence of the Treasury may determine by way of assistance towards the provision of amenities for the town with which it is concerned.

Contributions
by
development
corporations
towards
provision of
amenities.

14.—(1) This Act may be cited as the New Towns Act, 1959, and this Act and the New Towns Acts, 1946 and 1958, may be cited together as the New Towns Acts, 1946 to 1959.

Short title,
citation and
extent.

(2) Part I of this Act, except the provision in paragraph 1 of the First Schedule relating to disqualification for membership of the House of Commons, shall not extend to Scotland.

(3) Nothing in this Act, except the said provision, extends to Northern Ireland.

SCHEDULES

FIRST SCHEDULE

Section 2.

CONSTITUTION ETC. OF COMMISSION FOR THE NEW TOWNS

1.—(1) The members of the Commission, of whom there shall be not more than fifteen, shall be appointed by the Minister, and he shall appoint one of them to be chairman and one to be deputy chairman.

(2) Subject to the following provisions of this Schedule, a member of the Commission, and the chairman and deputy chairman, shall hold and vacate office as such in accordance with the terms of his appointment.

(3) If the chairman or deputy chairman of the Commission ceases to be a member of the Commission, he shall also cease to be chairman or deputy chairman.

(4) A member of the Commission may, by notice in writing addressed to the Minister, resign his membership, and the chairman or deputy chairman may, by the like notice, resign his office as such.

1ST SCH.
—cont.

(5) If the Minister is satisfied that a member of the Commission—
(a) has become bankrupt or made an arrangement with his creditors ; or
(b) is incapacitated by physical or mental illness ; or
(c) has been absent from meetings of the Commission for a period longer than three consecutive months without the permission of the Commission ; or
(d) is otherwise unable or unfit to discharge the functions of a member, or is unsuitable to continue as a member ;
the Minister may remove him from his office as a member of the Commission.

(6) A member of the Commission who ceases to be a member or ceases to be chairman or deputy chairman shall be eligible for re-appointment.

(7) The Minister may, out of moneys provided by Parliament, pay to persons holding office as chairman, deputy chairman or member of the Commission such remuneration in respect of that office as he may with the consent of the Treasury determine, and the Commission may pay to those persons such reasonable allowances as may be so determined in respect of expenses properly incurred by them in the performance of their duties.

(8) In the case of any such person as the Minister may with the consent of the Treasury determine, the Minister may, in respect of that person's office as chairman, deputy chairman or member of the Commission, pay out of moneys provided by Parliament such pension, allowance or gratuity to or in respect of him on his retirement or death, or such contributions or other payments towards provision for such a pension, allowance or gratuity, as may be so determined ; and as soon as may be after the making of any determination under this sub-paragraph the Minister shall lay before each House of Parliament a statement of the amount of the pension, allowance or gratuity, or the contributions or other payments towards pension, allowance or gratuity, as the case may be, payable in pursuance of the determination.

(9) Section fifteen of the Local Government Superannuation Act, 1953 (which enables local authorities to admit to their superannuation schemes employees of statutory undertakers), as extended by subsection (2) of section nine of this Act, shall apply to members of the Commission as if they were employees of the Commission ; but where a member of the Commission is admitted by virtue of this sub-paragraph to participate in the benefits of a superannuation fund maintained by a local authority, then—

(a) sub-paragraph (8) of this paragraph shall not apply to him ;
and

(b) the Minister shall make out of moneys provided by Parliament any payments which in consequence of the agreement are required to be made to the superannuation fund in respect of him by the employing authority, and may make from his remuneration any deductions which in consequence of the agreement the employing authority might make in respect of his contributions to that fund.

(10) The House of Commons Disqualification Act, 1957, shall be amended by inserting in Part II of the First Schedule, after the entry relating to the Colonial Development Corporation, the words "The Commission for the New Towns" (but that amendment shall not be made in the provisions substituted for the said Part II by the Third Schedule in relation to the Senate and House of Commons of Northern Ireland).

1ST SCH.
—cont.

2.—(1) The Commission may make arrangements for any part of their business in any town, or in two or more towns, to be conducted on behalf of the Commission (but subject to their general control) by a committee consisting partly of persons who are not members or servants of the Commission.

(2) It shall be the duty of the Commission to make, in relation to the management of land held by them in any town for the purpose of being let for dwellings, arrangements under this paragraph approved by the Minister.

(3) The Commission's appointments to any committee set up by virtue of this paragraph shall be subject to the Minister's approval.

(4) Before making any appointment to a committee set up in pursuance of sub-paragraph (2) of this paragraph, the Commission shall consult with the council of any county district comprising a substantial part of the area for which the committee is set up.

(5) The Commission may adopt, in addition to the common seal in general use by the Commission, such additional common seals as they think fit for use on their behalf by committees set up under this paragraph.

3.—(1) The quorum of the Commission and the arrangements relating to its meetings shall, subject to any directions given by the Minister, be such as the Commission may determine.

(2) The quorum of any committee set up under paragraph 2 of this Schedule and the arrangements relating to its meetings, so far as not provided for by the arrangements made for setting up the committee, shall be such as the committee may determine.

(3) The validity of any proceeding of the Commission or of such a committee shall not be affected by any vacancy among its members or by any defect in the appointment of any of its members.

4.—(1) The fixing of the seal of the Commission shall be authenticated by the signature of the chairman or of some other member authorised generally or specially by the Commission to act for that purpose or, in the case of a seal adopted for use by a committee, by the signature of the chairman of the committee or of some other member of the committee authorised generally or specially by the committee to act for that purpose.

(2) Any contract or instrument which, if made or executed by a person not being a body corporate, would not be required to be under seal may be made or executed on behalf of the Commission by any person generally or specially authorised to act for that purpose by the Commission or a committee set up under paragraph 2 of this Schedule.

(3) Any document purporting to be a document duly executed under the seal of the Commission shall be received in evidence and shall, unless the contrary is proved, be deemed to be so executed.

Section 6.

SECOND SCHEDULE

PROVISIONS RELATING TO TRANSFER TO COMMISSION OF PROPERTY OF DEVELOPMENT CORPORATION

1.—(1) Subject to the following provisions of this Schedule, where an order under this Act provides that on a specified date the property of a development corporation (so far as not excepted by the order) shall vest in the Commission, then on that date (hereafter in this Schedule referred to as “the transfer date”) there shall by virtue of the order and without further assurance be transferred to the Commission all property, rights, liabilities and obligations which immediately before the transfer date were property, rights, liabilities or obligations of the corporation.

(2) Subject as aforesaid, every agreement to which the development corporation was a party immediately before the transfer date, whether in writing or not and whether or not of such a nature that rights, liabilities and obligations thereunder could be assigned by the corporation, shall, unless its terms or subject matter make it impossible that it should have effect as modified in the manner provided by this sub-paragraph, have effect as from the transfer date as if—

- (a) the Commission had been a party to the agreement ;
- (b) for any reference (however worded and whether express or implied) to the corporation there were substituted, as respects anything falling to be done on or after the transfer date, a reference to the Commission ;
- (c) for any reference (however worded and whether express or implied) to any member or officer of the corporation there were substituted, as respects anything falling to be done on or after the transfer date, a reference to such person as the Commission may appoint, or, in default of appointment, to the member or officer of the Commission who corresponds as nearly as may be to the member or officer in question of the corporation.

(3) Other documents, not being enactments, which refer, whether specifically or generally, to the corporation shall be construed in accordance with sub-paragraph (2) of this paragraph so far as applicable.

(4) Without prejudice to the generality of the foregoing sub-paragraphs, where, by the operation of any of them, any right, liability or obligation vests in the Commission, the Commission and all other persons shall, as from the transfer date, have the same rights, powers and remedies (and, in particular, the same rights as to the taking or resisting of legal proceedings or the making or resisting of applications to any authority) for asserting, perfecting or enforcing that right, liability or obligation as they would have had if it had at all times been a right, liability or obligation of the Commission.

(5) Any legal proceedings or application to any authority pending on the transfer date by or against the development corporation (and not relating to property, rights, liabilities or obligations excepted by the order from the transfer to the Commission) may be continued on and after that date by or against the Commission.

2.—(1) Any such order as aforesaid may, if the Minister sees fit, except from the transfer to the Commission—

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—cont.

- (a) any books, papers, or documents of the corporation ;
- (b) any property (including in particular any trade or business) which the corporation have agreed to transfer to some person other than the Commission, together with the corporation's rights, liabilities and obligations under that agreement, and any other rights, liabilities or obligations which it is necessary for the corporation to retain in order to give effect to that agreement ;
- (c) such other property as the Minister thinks expedient for the purpose of enabling the corporation to discharge any functions remaining to it ;

and may provide for the disposal of any property so excepted and of any property received by the corporation after the transfer date under any such agreement or otherwise.

(2) Any expenses of the corporation on or after the transfer date, so far as not defrayed out of any such property as is mentioned in the foregoing sub-paragraph, shall be defrayed by the Commission.

3.—(1) Subject to the following provisions of this Schedule, on the transfer date the New Towns Act, 1946, and any other enactment relating to areas designated under that Act as the site of a new town shall cease to apply to the town as an area so designated, except for the purpose of any functions remaining to the development corporation by virtue of paragraph 2 of this Schedule ; and nothing in paragraph 1 of this Schedule shall be construed as conferring on the Commission any rights, liabilities or obligations of a development corporation under any enactment.

(2) The foregoing sub-paragraph shall not affect the operation of paragraph 1 of this Schedule or of any other enactment in relation to things done by or to a development corporation before the transfer date or in relation to matters arising out of things so done ; but no order shall be made under any enactment on or after the transfer date by virtue of this sub-paragraph.

(3) Without prejudice to the generality of sub-paragraph (2) of this paragraph,—

- (a) any permission granted by an order in force on the transfer date under section thirteen of the Town and Country Planning Act, 1947, for development in the new town shall continue in force as if references in the order to the development corporation included the Commission ;
- (b) where an undertaking for the supply of water or a sewerage or sewage disposal undertaking carried on by the development corporation is transferred to the Commission, the Commission shall have power to carry on the undertaking, and any enactment applying in relation to the carrying on or disposal of the undertaking by the corporation or to the corporation in virtue of the undertaking shall have effect also in relation to the carrying on or disposal of it by the Commission and to the Commission in virtue of it ;

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—cont.

(c) where the development corporation were making contributions under section eleven of the New Towns Act, 1946, to expenditure of a local authority or statutory undertakers, or had obtained the Minister's consent to making such contributions, the Commission shall have power to make or continue to make those contributions, whether or not the development corporation had undertaken any obligation to do so ;

(d) where the development corporation had entered into authorised arrangements within the meaning of Part I of the Housing (Financial Provisions) Act, 1958, then for the purpose of those arrangements the Commission shall be deemed to be a housing association within the meaning of the Housing Act, 1957, and any enactment applying in relation to the development corporation as a housing association or in virtue of the arrangements shall apply in like manner to the Commission.

(4) Section seven of the New Towns Act, 1946 (which relates to the provision of highways), and, so far as it has effect for the purposes of the said section seven, section twenty-three of that Act shall, notwithstanding anything in sub-paragraph (1) of this paragraph, continue to have effect in relation to the town for such period (if any) as may be specified in the order under section six of this Act relating to the town ; and that order may provide that any other enactment applying in relation to the town immediately before the transfer date shall continue to apply, subject or not to any modifications specified in the order.

(5) Where an enactment ceases to apply in relation to the town by virtue of this Schedule, subsection (2) of section thirty-eight of the Interpretation Act, 1889 (which relates to the effect of repeals), shall have effect as it has effect on the repeal of one Act by another.

4.—(1) Where—

(a) the Commission, by virtue of this Schedule, provide any housing accommodation in pursuance of authorised arrangements made between a development corporation and a local authority ; or

(b) any housing accommodation provided by a development corporation (whether in pursuance of any such arrangements or not) is transferred to the Commission under this Act, including housing accommodation not completed at the transfer date ;

subsections (1) to (4) of section four of this Act shall not apply, but (without prejudice to the generality of the foregoing paragraphs of this Schedule) there shall or may be made to or by the Commission, the Minister and any local authority the like payments by way of or in respect of any subsidy, grant or contribution as would be required or authorised to be made by any enactment, or by any agreement or arrangements made by virtue of any enactment, as if the Commission were that corporation and were acting in discharge of the corporation's functions under the New Towns Act, 1946.

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(2) Where a house or hostel provided by or transferred to the Commission as aforesaid is transferred to a local authority within the meaning of Part I of the Housing (Financial Provisions) Act, 1958, the foregoing sub-paragraph shall not have the effect of applying subsection (3) of section nineteen or subsection (2) of section twenty-two of that Act, but—

- (a) any subsidy or contribution payable by virtue of that sub-paragraph in respect of the house or hostel shall cease to be payable ; and
- (b) the Minister shall (subject to any power under that Act to reduce, suspend or discontinue any payments) pay to the local authority sums equivalent to the subsidies or contributions which would be payable in respect of the house or hostel if it had not been transferred to the authority ;

and any payment which the Minister is authorised to make under paragraph (b) of this sub-paragraph shall be included in the expression "exchequer payment" as defined in subsection (2) of section fifty-eight of that Act.

(3) In respect of expenditure of a development corporation on matters other than the provision of housing accommodation, the Minister may with the approval of the Treasury make to the Commission payments not exceeding those which, in his opinion, he would have made to the corporation under subsection (2) of section twelve of the New Towns Act, 1946.

(4) There shall be paid out of moneys provided by Parliament—

- (a) any increase attributable to sub-paragraph (1) of this paragraph in the sums so payable by the Minister under any enactment ; and
- (b) any expenses of the Minister under sub-paragraph (2) or (3) of this paragraph ;

and there shall be paid into the Exchequer any sums received by the Minister by virtue of sub-paragraph (1) of this paragraph.

5.—(1) The power of the Minister to make advances to the Commission under subsection (1) of section three of this Act shall extend to the making of advances for the purpose of enabling the Commission to meet liabilities transferred to them from a development corporation, being liabilities properly chargeable to capital account by the corporation, or to make good to revenue account sums applied by a development corporation in meeting liabilities so chargeable.

(2) Advances made to the Commission for the purposes mentioned in sub-paragraph (1) of this paragraph shall be left out of account in applying the limit imposed by subsection (1) of section three of this Act on advances under that subsection, but the making of an advance to the Commission for those purposes shall be subject to the same limit on the amount of the advance as if it were being made to a development corporation under subsection (1) of section twelve of the New Towns Act, 1946.

(3) Where the liabilities of a development corporation for the repayment of advances under subsection (1) of section twelve of the New Towns Act, 1946, or for the payment of interest on such advances, are transferred to the Commission, subsections (5) to (7)

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of section three and subsection (5) of section five of this Act shall apply in relation to those advances, instead of any corresponding provision of the New Towns Act, 1946, as they apply in relation to advances to the Commission under subsection (1) of section three of this Act.

6. In this Schedule “enactment” means any Act of Parliament and any order, rules, regulations or similar instrument having effect by virtue of an Act of Parliament, and includes enactments passed or made on or after the date of the passing of this Act, except in so far as any such enactment provides to the contrary.

Table of Statutes referred to in this Act

Short Title	Session and Chapter
Interpretation Act, 1889	52 & 53 Vict. c. 63.
Finance Act, 1895	58 & 59 Vict. c. 16.
Increase of Rent and Mortgage Interests (Restrictions) Act, 1920	10 & 11 Geo. 5. c. 17.
Local Government Act, 1933	23 & 24 Geo. 5. c. 51.
Public Health Act, 1936	26 Geo. 5 & 1 Edw. 8. c. 49.
National Loans Act, 1939	2 & 3 Geo. 6. c. 117.
New Towns Act, 1946	9 & 10 Geo. 6. c. 68.
Town and Country Planning Act, 1947	10 & 11 Geo. 6. c. 51.
Companies Act, 1948	11 & 12 Geo. 6. c. 38.
Housing (Scotland) Act, 1950	14 Geo. 6. c. 34.
Reserve and Auxiliary Forces (Protection of Civil Interests) Act, 1951... ..	14 & 15 Geo. 6. c. 63.
Local Government Superannuation Act, 1953	1 & 2 Eliz. 2. c. 25.
Licensing Act, 1953	1 & 2 Eliz. 2. c. 46.
Housing Subsidies Act, 1956... ..	4 & 5 Eliz. 2. c. 33.
House of Commons Disqualification Act, 1957	5 & 6 Eliz. 2. c. 20.
Housing and Town Development Act, (Scotland) 1957	5 & 6 Eliz. 2. c. 38.
Housing Act, 1957	5 & 6 Eliz. 2. c. 56.
New Towns Act, 1958	6 & 7 Eliz. 2. c. 12.
Housing (Financial Provisions) Act, 1958	6 & 7 Eliz. 2. c. 42.
Highways Act, 1959	7 & 8 Eliz. 2. c. 25.